

PROJECT SYNDICATE DIGEST

October 2026

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1. America's Looming Debt Reckoning

Author: Kenneth Rogoff **Published:** Oct 1, 2026 **Link:** [View Original](#)

CAMBRIDGE—America's fiscal position is increasingly looking like a train hurtling along a twisting mountain track. No one seems willing to slow down for fear of falling behind schedule and losing their job. Even if the train doesn't crash, it is worth asking: Why keep pushing it? Despite solid growth, the federal deficit is about 6% of GDP. Yet the option of slowing down does not appear to be in President Donald Trump's playbook.

2. Putin Is Testing NATO at Ukraine's Borders

Author: Anna Husarska **Published:** Oct 1, 2026 **Link:** [View Original](#)

LVIV—Jet-powered Russian drones recently hit a train in Ukraine a mere mile from the Polish border. The drone pilots, and their Kremlin minders, must have known that officials from Europe, the United Kingdom, the United States, and elsewhere had previously left Kyiv by train after participating in the Yalta European Strategy (YES) Annual Meeting, a sort of Ukrainian Davos. But the trains carrying former UK Prime Minister Boris Johnson, former Swedish Prime Minister Carl Bildt, former CIA Director David Petraeus, and former Polish President Aleksander Kwaśniewski, among others, were not hit. Had the Russians missed them intentionally or through incompetence?

3. The OECD Should Be Reclaimed, Not Abandoned

Author: Kim Ruhl **Published:** Oct 1, 2026 **Link:** [View Original](#)

NEW YORK—On September 30, the OECD marked the 65th anniversary of its founding. Like many other aging international organizations, it has developed a taste for mission creep, as we witnessed firsthand as former delegates there. That is why some US policymakers want to reduce or eliminate funding for the organization. But walking away from the OECD would mean abandoning capabilities that are becoming ever more important in America's economic competition with China.

4. The Sovereign Wealth Fund America Needs

Author: Steven Hill **Published:** Oct 1, 2026 **Link:** [View Original](#)

LOS ANGELES/NEW BRUNSWICK—OpenAI’s Sam Altman, US President Donald Trump, US Senator Bernie Sanders, and California Governor Gavin Newsom do not agree on much, yet they have all proposed that the United States create a sovereign wealth fund (SWF), seeded by stocks from AI companies, to cope with AI’s negative impacts. It is a good idea. Unfortunately, their proposals are woefully inadequate.

5. The Hard Road to a Middle-Power Order

Author: Sophie Eisentraut **Published:** Oct 1, 2026 **Link:** [View Original](#)

MUNICH—In his historic speech in Davos in January, Canadian Prime Minister Mark Carney urged middle powers to confront an increasingly harsh geopolitical reality by joining forces to forge a “third path” between kowtowing to great-power pressure and going it alone. But when it came to defining this path, Carney’s speech outlined two projects of very different scope.

6. Closing Europe's Dynamism Deficit

Author: Carl Benedikt Frey

Published: Oct 2, 2026

Link: [View Original](#)

OXFORD—Technology has always been a source of power. During the centuries when China sat near the world's frontier of invention, it was also a master of statecraft. But with the Industrial Revolution in Europe, the decisive technologies of steam, steel, railways, and rifled artillery shifted the balance of power westward, inaugurating a period embedded in China's collective memory as the "century of humiliation."

7. Why Is the Global Economy So Resilient?

Author: Nouriel Roubini

Published: Oct 2, 2026

Link: [View Original](#)

NEW YORK—Despite the rising risks, uncertainties, and large negative supply shocks of the last two years, stock markets and the overall global economy have held up quite well. Following the shock of US President Donald Trump’s “Liberation Day” (April 2) tariffs in 2025 came this year’s Iran War, which caused the largest energy shock since the oil crises of the 1970s.

8. Global AI Oversight Now

Author: Gabriela Ramos

Published: Oct 2, 2026

Link: [View Original](#)

PARIS—Several years ago, Mariana Mazzucato and I asked a simple question: Who is in charge if something goes wrong in the AI world? The question remains unanswered, even after the United Nations Security Council met last week to discuss the existential risks posed by AI.

9. Trump's Great Oil Heist

Author: Cristina Ramirez

Published: Oct 2, 2026

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LONDON—When the United States ousted Venezuelan President Nicolás Maduro earlier this year and put him in a New York jail cell, Venezuelans at home and abroad rejoiced. For the first time in 27 years, the country faced a real possibility of regime change. But removing an autocrat does not necessarily dismantle the authoritarian system that kept him in power, particularly when the man who removed him is an aspiring authoritarian and kleptocrat in his own right.

10. Conserving a Connected Ocean

Author: Marie-May Jeremie **Published:** Oct 2, 2026 **Link:** [View Original](#)

VICTORIA—Every year, sea turtles return to the beaches of northern KwaZulu-Natal, in South Africa, where they began life. Once they leave the shore, some travel north through the Mozambique Channel, using waters and coastal habitats off Mozambique and Madagascar, while others journey into the wider Indian Ocean. South Africa can protect their nesting beaches, but no country alone can protect their entire journey.

Governments have abandoned many of the economic ideas blamed for the populist backlash, yet support for populist parties continues to grow. This puzzle lies at the heart of two new books, both of which suggest that liberalism's decline may outlast the economic forces that set it in motion.

While empirical inquiry has its place in economics, the pursuit of causality must not be allowed to displace the pursuit of explanation. Beyond identifying causal effects within existing arrangements, economists must investigate how those arrangements are produced, reproduced, and contested.

The turtle embodies the central challenge of ocean conservation. Strong national action is indispensable, but protecting migratory species, interconnected habitats, and shared ecosystems requires countries to work together. And to do that, the finance supporting such cooperation must be capable of making the same journey as the turtle.

For the approximately 60 million people living within 100 kilometers (62 miles) of the Western Indian Ocean coastline, the stakes of conservation are immediate. Healthy marine ecosystems support food security, livelihoods, trade, and tourism, as well as providing bulwarks against storms. They are the natural foundation of the sustainable blue economies our countries are working to build.

But their value also reaches far beyond the region. Our mangroves and seagrasses store carbon. Our reefs sustain biodiversity. And our waters support migratory species whose journeys connect coastlines and the wider ocean. Protecting them may be a regional responsibility, but it is also in the rest of the world's interest.

Regional leaders do not lack ambition, nor are we waiting for others to define what ocean conservation should look like. In my country, Seychelles, we have seen what can happen when ambitious goals are backed by strong political commitments and innovative finance. Our marine spatial planning and conservation-finance experience demonstrates that protecting the ocean can be integrated into national development. Now, other countries across the Western Indian Ocean are pursuing similar strategies shaped by their own priorities and circumstances.

Through the Nairobi Convention, governments have committed to stronger cooperation in developing sustainable blue economies and more effective, inclusive forms of ocean governance. The Regional Ocean Governance Strategy has established the mandate, and we are all now tasked with creating the financing mechanisms capable of delivering it.

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It is a tall order. Achieving the common objective of protecting 30% of marine and coastal areas by 2030 requires more than drawing boundaries on a map. Protected areas must be supported by science, effective management, enforcement, community participation, and investments in sustainable livelihoods.

With the landmark Agreement on the Conservation and Sustainable Use of Marine Biological Diversity of Areas beyond National Jurisdiction now in force, new possibilities are opening for conservation beyond national waters. The Western Indian Ocean region must be ready to influence how the agreement is implemented. Our responsibilities will extend far beyond any single project or grant. Reefs do not recover according to project deadlines, just as fisheries won't be replenished in sync with funding cycles. Conservation requires continuity.

That is why women from three coastal villages in Anjouan, Comoros, formed an association after learning from fishing communities in Madagascar and Zanzibar. They temporarily closed part of their reef to octopus fishing, helped enforce the closure, and then waited. When the fishing ground reopened, the average octopus caught was twice its previous weight. The idea crossed borders because likeminded communities were open to learning from one another.

In these and other ways, Western Indian Ocean communities are already taking the lead on conservation. But sustaining and extending their progress requires finance that supports local leadership, knowledge-sharing, and long-term ecosystem management. National institutions and project investments remain essential, but some responsibilities are regional by nature. Fisheries can move and species can migrate between interconnected habitats.

No single fund can finance every item on the conservation agenda. Pollution controls, greener ports, and other maritime priorities require different instruments. Nonetheless, governments are working toward a Western Indian Ocean Regional Conservation Trust Fund (RCTF) that can fill critical gaps, mobilizing and deploying sustained finance for priorities that cross borders and are best addressed regionally. Designed to complement and not compete with national funds, development banks, and project finance, the RCTF will focus only where cross-border cooperation adds clear value.

The region is not starting from scratch on this issue. Consultations with governments, conservation organizations, and financial partners are already ongoing, informed by lessons from near and far. But the next phase must be government-led to determine the RCTF's priorities, safeguards, governance structure, and relationship with existing institutions.

International partners can help accelerate that work. They are not being asked to create a new agenda or finance another isolated project. They can help build one component of a regionally owned financing architecture, directed toward conservation needs that conventional funding struggles to sustain. This is not simply about funding conservation in the Western Indian Ocean. The real opportunity is to invest in the region's own capacity to lead the effort.

When governments meet for the Twelfth Conference of the Parties to the Nairobi Convention (COP12) next week, they will mark 40 years of cooperation through that agreement. They must also look ahead. A sustainable blue economy for the region must be built on healthy ecosystems backed by reliable, long-term finance. The goal for the conference should be to authorize a government-led next phase for the RCTF, defining where it can add value and how it should cooperate with other regional bodies.

The Western Indian Ocean is one connected system. Its future demands finance equal to the distance its species travel, the connections its ecosystems sustain, and the ambition its countries are bringing to the table.

11. Climate Resilience Starts With Care

Author: Caren Grown **Published:** Oct 2, 2026 **Link:** [View Original](#)

WASHINGTON, DC—It is getting harder by the day to justify the slow pace of adaptation to climate change. Last year was one of the hottest on record, with economies and communities around the world disrupted by extreme heat, heavy rainfall, and tropical cyclones. As November's United Nations Climate Change Conference (COP31) in Turkey approaches, governments must move beyond climate commitments and focus on implementation.

Governments have abandoned many of the economic ideas blamed for the populist backlash, yet support for populist parties continues to grow. This puzzle lies at the heart of two new books, both of which suggest that liberalism's decline may outlast the economic forces that set it in motion.

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Financing for adaptation activities remains nowhere near what is needed. The UN Environment Programme estimates that developing countries will need \$310–365 billion per year through 2035, putting the current funding gap at \$280 billion. Getting the money to where it can do the most good may be an even bigger challenge, as institutions struggle to identify adaptation investments that are ready to implement and whose risks can be properly assessed and priced.

In a new working paper, we argue that estimates of funding needs and proposed investment pipelines overlook a critical piece of infrastructure: an ecosystem of climate-adapted care services that helps families prepare for, cope with, and recover from climate-induced hazards. Properly designed, these services can bolster household and community resilience. The same principle underpins investments in early-warning systems and adaptive social protections designed to help countries respond to climate shocks.

Provisional estimates suggest that at least 35,000 excess deaths occurred across Europe during this summer's severe back-to-back heat waves. Despite their well-developed welfare systems, the absence of climate-adapted physical infrastructure and coordinated services contributed to this excess mortality.

Yet national climate-adaptation plans rarely account for what happens when care breaks down. Floods and wildfires displace families and separate caregivers from the people who depend on them. When household-based care is no longer possible, formal care can become a lifeline for older people and people with disabilities who cannot evacuate or manage on their own. Without reliable care services, health issues can lead to otherwise preventable hospital admissions, putting even more pressure on already strained services.

As matters stand, family caregivers are left to shoulder the burden, facing injury and burnout during prolonged emergencies. Some, most of them women, are forced to leave paid work just when their families can least afford to lose income. When care systems fail, a climate shock can quickly become both a health and economic crisis. Strong care systems can prevent these cascading failures, making care a crucial part of climate resilience.

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Leaving care out of national adaptation plans thus means underestimating what climate resilience actually requires. Admittedly, anticipating those needs is difficult, as there is no standard definition of what qualifies as adaptation, and

national estimates are often based on individual projects, most of them in conventional sectors.

That sector-by-sector approach allows care to fall through the cracks. Agriculture, forestry, fishing, water supply, and sanitation account for nearly 40% of global adaptation finance, while health receives an estimated 4–6% and education around 2%. Long-term care and early-childhood care and education are essentially absent, particularly in low- and middle-income countries, where most care is provided informally.

Despite being too low, the \$310–365 billion figure is already baked into national plans and multilateral-development-bank targets. But as climate shocks intensify, people will need more care, not less. And when formal services fall short, unpaid caregivers—overwhelmingly women and girls—will end up filling the gap.

Our paper proposes a way to begin correcting that omission. For example, we estimate that building climate-resilient care infrastructure in Bangladesh would require an investment equivalent to roughly 3–5% of GDP, similar to what is needed for health and education. This is a substantial investment, but only a fraction of the estimated value of unpaid care work.

Building that care infrastructure would require millions of workers. We estimate that early-childhood care and education and long-term care could directly employ 3.6–7 million people in Bangladesh. More jobs would come from providing food and other supplies, as well as from building or retrofitting childcare facilities and homes for people receiving long-term care.

Care services also give financiers a concrete way to put adaptation money to work. For starters, such investments come with an established evidence base—data on unit costs, staffing models, utilization, and outcomes—facilitating risk assessment. Some of these investments partially pay for themselves through tax revenue from higher employment and lower future spending on health and social protection. And demand is demographically guaranteed, since the need for care can only grow as populations age.

As adaptation financing tightens, every dollar has to work harder. That makes it all the more important to invest in care systems that help communities withstand climate shocks while easing pressure on public budgets.

12. Is Russia's Placement on the Security Council Legal?

Author: Denys Shtilierman

Published: Oct 5, 2026

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KYIV—"We the peoples of the United Nations determined to save succeeding generations from the scourge of war." So begins the UN Charter. Yet Russia's war of aggression against Ukraine is well into its fourth year, confirming just how far the UN has strayed from its foundational promise.

13. To Support Nepal, Waive Remittance Fees

Author: Ngozi Okonjo-Iweala

Published: Oct 5, 2026

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GENEVA—The flash floods that struck Nepal on August 26 claimed more than a thousand lives and destroyed livelihoods, homes, farms, and public infrastructure. With reconstruction and the economic recovery now underway, support for the survivors can travel fastest through payment networks and family ties—as is usually the case when disasters strike developing countries.

14. What a Canada–Europe Alliance Needs

Author: Bertrand Badré

Published: Oct 5, 2026

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PARIS—In today’s world, any new partnership between democratic societies will be stronger if ordinary citizens, civil-society groups, businesses, universities, the media, and local communities play a meaningful role in shaping it. That is certainly true of the Canada–Europe relationship as it enters a new phase.

15. Iran's Moment of Opportunity

Author: Abdullah Gül **Published:** Oct 5, 2026 **Link:** [View Original](#)

ISTANBUL—On February 28, the United States and Israel shocked the world by launching strikes across Iran and assassinating the country's supreme leader, Ayatollah Ali Khamenei. Civilian casualties quickly mounted, including 150 civilians—mostly children—killed when American missiles struck an elementary school. Iran duly retaliated by targeting Israel and US bases across the region and throttling maritime transit through the Strait of Hormuz.

16. Brazil's Voters Have Moved

Author: Robert Muggah

Published: Oct 6, 2026

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BERLIN—Brazilians awoke on Monday to a changed political map. Flávio Bolsonaro, the son of former Brazilian President Jair Bolsonaro, who is now under house arrest for attempting to overturn the last presidential election, has received 47% of the vote in the first round of this year's presidential election, while the incumbent, Luiz Inácio Lula da Silva, received 45%. Brazil appears poised to join the growing ranks of rightward-veering countries.

17. Brazil's Election Debacle Is Lula's Fault

Author: Andrés Velasco

Published: Oct 6, 2026

Link: [View Original](#)

SANTIAGO—Brazilian President Luiz Inácio Lula da Silva once had a credible claim to be the savior of the country's left. After the October 4 general election, he looks more like the left's gravedigger.

18. Sino-American Stability Without Trust

Author: Minghao Zhao

Published: Oct 6, 2026

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BEIJING—At the recent summit between US President Donald Trump and Chinese President Xi Jinping, China's primary objective was to prevent tensions from escalating further. From that perspective, it was largely successful.

19. Why the US-China Trade Truce Matters

Author: Shang-Jin Wei

Published: Oct 6, 2026

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NEW YORK—Chinese President Xi Jinping’s state visit to Washington in September produced no major new agreement. But it did result in an extension of the trade truce that Xi and US President Donald Trump struck in Busan, South Korea, last October. Instead of expiring on November 10, the truce will expire on January 10, 2027. Though modest, this achievement has given an unstable world economy a reprieve.

20. Does Inclusive Finance Really Need Stablecoins?

Author: Michael Wiegand

Published: Oct 6, 2026

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SEATTLE—Much progress has been made on financial inclusion over the last 15 years, with account ownership in low- and middle-income countries surging from 42% in 2011 to 75% today. This largely reflects the rise of new banking models, such as mobile money, which have lowered both costs and technological barriers substantially, especially by enabling people to access their accounts using basic mobile phones. But 1.3 billion adults—more than half of them women—remain excluded from the formal financial system, and lower-income consumers still struggle to find and access the financial products and services they need.

While empirical inquiry has its place in economics, the pursuit of causality must not be allowed to displace the pursuit of explanation. Beyond identifying causal effects within existing arrangements, economists must investigate how those arrangements are produced, reproduced, and contested.

Stablecoins are being touted as the technology that will finally bring the world's unbanked poor into the financial system. But the hype is unwarranted.

Everyday domestic payments are the cornerstone of financial inclusion, and money and bank accounts linked through an inclusive instant payment system are clearly superior to stablecoins for this purpose. Both options offer 24-hour access and instant low-cost financial transfers. But traditional accounts can be accessed through regular phones using simple messages, whereas stablecoins require a smartphone or internet-connected computer, not to mention a much higher level of digital literacy. For a woman farmer in northern Kenya, who has a basic phone and no data connection, stablecoins are no solution.

Data support this assertion, showing that the vast majority of stablecoin transactions are limited to uses like cryptocurrency purchases. Even where governments have pushed hard to launch their own digital currencies, such as in China and Nigeria, there has been little uptake, because people see no advantage in adopting them. For some, digital currencies might even represent a disadvantage: stablecoins transmit risk from payer to payee in a way that instant payment systems do not, partly because their value on traded markets can differ from their face value.

Some argue that stablecoins are better for cross-border payments. They point out that remittances sent in the form of a dollar-backed stablecoin could reach, say, Kampala from anywhere else in the world in seconds and at low cost. But the recipient would still need to convert the stablecoin into Ugandan shillings, and the market for doing so is a fraction of the size of the market banks and money-transfer operators draw on, with worse exchange rates. As a result, money-transfer operators like Wise or Remitly generally offer better value end-to-end; they are certainly easier to access for most low-income recipients.

Cross-border bank transfers are still slower and more expensive than such operators (and stablecoins), but this can be addressed by linking domestic instant-payment systems, as envisioned in the G20 Roadmap for Cross-Border Payments. This approach is already being implemented in some regions: the Nexus payment system, for example, links India, Malaysia, the Philippines, Singapore, and Thailand.

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Of course, financial inclusion entails more than just payments. Financial systems must offer all consumers a range of products that meet their needs. Fortunately, we may well be on the verge of an explosion in new financial products for

low-income customers. The key ingredient is data: critical information about an individual (shared with their consent) can increasingly be used to build tailored financial products.

This approach is already beginning to transform lives. In Ethiopia, a regulatory reform on data exchange enabled the Cooperative Bank of Oromia to launch a lending product called Michu, built not on collateral but on transaction data, and tailored to the borrower's specific needs. Within a year, Michu had built a customer base that was more than one-third women.

For farmers—who typically do not have extensive transaction histories, since most agriculture payments are still made with cash—different types of data could be used. Governments already increasingly collect data on the land farmers hold, the crops they grow, and even the rainfall on their fields (verified via satellites), primarily to provide advice. Shared with consent, such data could enable a lender not only to estimate farmers' current income accurately, but also to structure loan-repayments to match their cash-flow cycle.

Lenders could even use these data and advice models to identify opportunities for individual farmers to increase their incomes, such as by installing solar-irrigation pumps. Linking lending to such opportunities would lower the price of the loan, reduce the risk to the lender, and add extra value for the farmer. The same data could be used to price insurance that pays out the moment satellite imagery confirms a drought, instead of waiting for a claims adjuster. It is early days, but initiatives along these lines in Ethiopia and Kenya offer reason to hope that this approach can deliver the financial products farmers need. Ethiopia's National Agri-Finance Implementation Roadmap (NAFIR), launched jointly by the National Bank of Ethiopia and the Ministry of Agriculture, will provide lenders with a wide range of data from the OpenAgriNet system, structured in a way to be useful to lenders.

Ultimately, what increasing financial inclusion requires does not involve stablecoins. Policymakers must develop interoperable payment infrastructure to enable banks, mobile-money providers, and fintech firms to exchange money freely, domestically and across borders. Funders should support the strengthening of regulatory capacity and data infrastructure—less glamorous than launching a stablecoin pilot, but far more impactful. And financial institutions should leverage new data to design financial products for low-income people's needs and opportunities, rather than what they own or their past transactions.

Future progress on financial inclusion will not be decided by which digital currency wins. It will be decided by whether the financial system is sufficiently open, competitive, and interconnected.

21. With AI, Sharing Is Caring

Author: Jeff Jarvis **Published:** Oct 7, 2026 **Link:** [View Original](#)

NEW YORK—Who wants ignorant AI? Wrong AI? Stupid AI? If privacy and copyright advocates, regulators, and crusaders against the technology succeed in cutting off or poisoning AI's sources of reliable data and authoritative information, won't bad AI be the result?

22. Closing NATO's Deterrence Gap

Author: Agnia Grigas **Published:** Oct 7, 2026 **Link:** [View Original](#)

VILNIUS—On September 23, just a week after NATO aircraft shot down a drone that had entered Lithuanian air space from Belarus, a Russian military helicopter flying out of Kaliningrad briefly breached Polish airspace. Neither intrusion was an isolated episode. A growing catalogue of security incidents shows that the Kremlin's war of aggression against Ukraine is pressing ever more ominously on NATO's borders.

23. How Africa Can Leverage the US-China Thaw

Author: Prasad Ananthakrishnan

Published: Oct 7, 2026

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WASHINGTON, DC—Chinese President Xi Jinping’s state visit to the US produced a two-month extension of the current bilateral trade truce—and little else. Nonetheless, both leaders signaled that they want a more stable relationship ahead of the Asia-Pacific Economic Cooperation summit in Shenzhen in November and the G20 in Miami in December. This creates an opportunity for emerging and developing economies in Africa and elsewhere.

24. The India-Pakistan Cold War

Author: Shashi Tharoor **Published:** Oct 7, 2026 **Link:** [View Original](#)

NEW DELHI—For decades, South Asia was locked in a perpetual cycle of conflict management: brief military clashes between India and Pakistan would be followed by de-escalation and the resumption of formal peace talks, which eventually gave way to another bout of conflict. But this pattern has now been broken. No high-level dialogue has taken place since 2016. Rather than some temporary diplomatic tantrum, this reflects a paradigm shift in Indian foreign policy, permanently altering the subcontinent's security architecture.

25. The Next Era of Reform Must Be About Capability

Author: Pepukaye Bardouille

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BRIDGETOWN—We tend to think of a country's assets in terms of natural resources, technology, and capital. But equally important is its ability to shape its own future, as opposed to having its development determined mainly by external factors.

While empirical inquiry has its place in economics, the pursuit of causality must not be allowed to displace the pursuit of explanation. Beyond identifying causal effects within existing arrangements, economists must investigate how those arrangements are produced, reproduced, and contested.

Major global stressors in recent years have brought this reality into sharper focus. COVID-19, rising interest rates, energy-price spikes, and an intensifying climate crisis have forced many small states into perpetual firefighting mode. For the most indebted and least diversified economies, each new upheaval has pushed aside years of planning, leading to calls for higher investment in resilience. And yet resilience alone is not enough, because a country can do everything right and still end up worse off if it lacks genuine agency.

The true test of development is whether it expands a country's choices and capabilities. It is this insight that lies behind the Barbados-led Bridgetown Initiative, which seeks to create a more responsive financial system, unlock affordable long-term finance, and develop better tools for managing shocks. That is what countries need to maintain their national goals when crises erupt.

Small states understand this all too well. For them, uncertainty is not an occasional problem, but a persistent condition. They were thinking about disaster preparedness and strategic autonomy long before these topics became regular items on the international agenda. The challenge was never to eliminate vulnerability entirely, but to preserve freedom of action despite it. In a world of rising geopolitical tensions and climate risk, agency proved to be one of the most valuable assets a country could possess.

The current era of development reform proposals understandably focuses on expanding the fiscal and policy space needed to help countries weather crises. However, what ultimately matters is whether investments leave behind stronger institutions, deeper expertise, more competitive firms, and a greater capacity to solve complex problems.

Though the international system has become more effective at financing projects—from roads and energy systems to hospitals and digital infrastructure—development cannot be reduced to a series of investments or line items on a balance sheet. The harder task is building up the means to design, deliver, maintain, and expand those investments.

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Such know-how is not limited to infrastructure. Consider Barbados's experience with sovereign-debt restructuring, debt-pause clauses, and debt-for-resilience transactions. None of these innovations emerged by accident. They required discipline in economic management over an extended period, political leaders who were willing to back negotiating teams through years of difficult, unglamorous work, and policymakers who developed their expertise by tackling problems for which there were no clear precedents.

The same lesson applies across the wider economy. Barbados is now seeking to build on a decade of climate-finance leadership while advancing ambitious food-security, social-protection, and energy-independence initiatives at home. We

understand that scaling up battery-storage capacity and pursuing the country's first utility-scale wind project require far more than technical plans. These investments demand coordination among ministries, regulators, the private sector, financiers, and neighboring communities. Success depends on bringing all these players together to work through disputes, structure viable deals, and keep projects moving when obstacles arise.

Barbados's own recent experiences point to a broader truth about how expertise is built. People learn by doing, and institutions, by extension, learn through the people who build and sustain them. Capacity is forged through negotiating difficult deals, delivering projects, managing crises, learning from mistakes, and taking on progressively more complex responsibilities. Technical skills matter, but so do incentives, trust, continuity, the authority to act, and the time to think and experiment.

Likewise, developing countries need firms capable of competing internationally, adopting new technologies, and responding to changing markets. Development succeeds when the public and private sectors strengthen each other.

No country develops these capabilities overnight. They are acquired through repeated exposure to difficult situations. Barbados recently lost its Chief Fisheries Officer, and her passing is still felt across the sector she helped transform. She knew almost every fisher by name, introduced technologies that modernized the fleet, and earned the trust of a community that was struggling to attract younger talent. Her contributions were not just technical. She also brought decades of accumulated knowledge, relationships, judgment, and credibility.

That is often how institutional memory works in small states. Expertise resides in people before it becomes embedded in systems, and if key individuals depart or pass away, a country's entire development agenda can be set back. In addition to cultivating talent, developing countries also must ensure that knowledge, relationships, and experience become institutional assets rather than individual ones.

The same principle applies to external support. Development partnerships are most effective when they strengthen a country's ability to deliver results for itself. Governments cannot treat institutional strength merely as a by-product of reform. They must make it a strategic objective, embedded in organizations capable of maintaining continuity through political cycles and personnel changes.

Of course, emphasizing capabilities does not diminish the importance of affordable finance, access to technology, or a trading system that enables resource-rich countries not only to export raw materials, but also to process, manufacture, and innovate, thereby creating jobs, developing skills, and retaining more value domestically. Agency cannot be separated from the broader system in which it is exercised, and significant structural constraints remain.

But at a time when the global agenda is increasingly defined by a steady cycle of conferences, summits, communiqués, and new initiatives, it is worth stepping back to ask a harder question: Are countries actually becoming better able to make decisions, deliver results, and determine their own path?

The next generation of development reform should not be measured solely by how much finance is mobilized or how much fiscal space is created. It must also be judged by the extent to which countries emerge better able to set their own priorities, respond to challenges, and seize opportunities. The true measure of success is whether countries are gaining the capacity and confidence to shape events, rather than be shaped by them.